

PITCH — PINS — VERDICT

ADJUDICATED 2026-09-10 — HOLD — NO ADD; trim tripwire \$16.50 (conviction 8/10). The regime/drawdown thesis was REJECTED as actionable for this name; see the EVENT ADDENDUM at the end for the ruling. Any earlier 'ADJUDICATED' line in this deck referred to a prior court and is superseded. ADJUDICATED 2026-08-03 — NO NEW MONEY TODAY: hold the existing 485 shares, arm the reopen gates below, and treat this as a STARTER 5/10 that is tranching and print-gated (conviction 5/10; recommendation from the court: **None**).

What we believe

Pinterest is a cash-generative advertising platform trading at roughly \$10.5B of market value with about \$1.2B of annual free cash flow. On the pack's own tape price of \$18.725 and the share count from the last 10-Q cover page (481,750,308 Class A + 78,407,019 Class B = 560,157,327 shares), that is a **\$10.49B market cap, ~\$10.20B enterprise value, an 11.4% free-cash-flow yield, and about 2.2x sales**. The company is buying back stock aggressively — the count fell roughly 17% in fifteen months — and it raised full-year margin guidance to 30% at the same print that spooked the stock.

We also believe the stock's 19% post-print drop was **not** a mechanical, no-news selloff. It was a re-rating on a real piece of news: the Q3 guide of \$1.19–1.21B (+13–15% year over year) after a Q2 that grew 18%. That is a genuine deceleration, and the guided quarter-over-quarter step-up of about +1.7% is far below the +5.4% / +5.2% / +7.8% seasonal norms of the prior three years.

So the honest belief is narrow: **cheap enough to own, not cheap enough to add into a decelerating guide delivered by an interim finance chief**. We want the November print to tell us whether the deceleration is a currency-and-comp air pocket or the beginning of share loss, and we want a permanent CFO named before we put more money to work.

What the market believes

The market believes the growth story broke on August 4. It marked the stock from \$23.41 down to \$18.72 — a ~20% haircut — while the company simultaneously raised margin guidance. That combination says the market is not pricing a profitability problem; it is pricing a **top-line durability problem**: that mid-teens growth is the new ceiling and the next step is low double digits or worse.

The market also appears to be discounting the finance-leadership churn. The CFO resigned on August 26 and departs October 30; the interim replacement has no prior public-company CFO tenure; the external search is still open. Insiders have filed six Form 144s in sixteen days with zero open-market purchases in the record. None of that is a buyer's tape.

And the market is *not* treating \$10.5B / 11.4% as obviously cheap, which is the honest read: a high free-cash yield on a decelerating consumer-discretionary ad platform is a normal price, not a mispricing.

Why we might have edge

1. **A share-count error that a serious desk made in writing.** One of our own benches computed the cap from the weighted-average diluted share series (689.8M, last point 2025-06-30) and produced a \$13.0B cap, \$12.7B EV, and a 9.2% yield — declaring the valuation leg “FATAL.” The primary document contradicts it:
<https://www.sec.gov/Archives/edgar/data/0001506293/000150629326000068/pins-20260331.htm> shows 560.16M shares outstanding as of April 28, 2026. If a bench with our tooling can overstate the cap by ~24%, screen-driven money can too. The gap between a 9.2% and an 11.4% yield is the whole argument.
2. **Seasonality specificity.** The thesis’s original kill test (“Q3 decelerates sequentially”) false-positives every single year, because Q2→Q3 is structurally the weakest sequential quarter for this business. Restating it as *guided-QoQ versus the three-year seasonal norm* is what shows the guide is genuinely soft (+1.7% vs +5–8%). Most readers of the guide either panicked at the headline or waved it off; almost nobody normalized it.
3. **The buyback is the marginal buyer, and it is sized.** A \$3.5B authorization (March 2026) with roughly \$2.5B remaining after a \$1B accelerated repurchase, against ~\$750M/yr of stock compensation, means the count is shrinking rather than drifting. Whether that bid persists through the CFO transition is a knowable, monitorable thing — and it is the mechanism most likely to be mis-modeled by others.
4. **Capital structure is clean, which people assume it isn’t.** The \$981M is 1.75% convertible senior notes due 2031, sold to Elliott and closed March 5, 2026, with proceeds funding the ASR
(<https://www.sec.gov/Archives/edgar/data/1506293/000119312526092744/d107385d8k.htm>). Deep out of the money at \$18.72 — no share overhang, face-value EV treatment is correct.

Why it might be priced in

Bluntly: most of it probably is.

- Every number in the valuation leg comes from public filings. An 11.4% FCF yield at 2.2x sales is visible on any screen. There is no private data in our edge column.
- The deceleration was **announced by the company** on August 4. The market has had five weeks to price a 13–15% guide.
- The CFO 8-K is thirteen days old and publicly filed. Our bench’s “novel” finding was public information; the only thing that was novel was our own failure to read our own evidence pack.
- We never established the street’s number. Nobody produced consensus Q3 revenue with a stated mechanism for why our estimate should differ. Absent that, the correct description of this position is “**we agree with the street and think the stock is cheap**” — which is a valuation position, not an information edge, and valuation positions do not deserve full size.

- Off-the-low anchor: we are bidding **+35.2%** above the 52-week low of \$13.845, not at it. The dislocation framing is wrong even though the drawdown (−49.5%) is real.

What could go wrong

Failure narrative 1 — The guide was the first step, not the bottom (monitorable). Mid-teens becomes low-teens becomes high-single-digits as budget shifts to platforms with better closed-loop measurement. The 11.4% yield compresses not because cash flow falls but because the multiple the market will pay for a decelerating platform falls. Tripwires: Q3 print below \$1.19B; Q4 guide below +13% YoY; guided QoQ again below seasonal norm; MAU growth breaking under +8%; margin guide cut below 30%. All arrive on 2026-11-09.

Failure narrative 2 — Finance-leadership vacuum produces a reset guide (monitorable). The departing CFO owns the Q3 close through October 30; the interim principal financial officer owns the Q4 guide six trading days later. An interim officer who owns no prior guide has the cheapest possible option to guide wide and low. If a permanent CFO is then hired into a fresh reset, we eat two guide-downs in two quarters. Tripwires: 8-K Item 5.02 naming a permanent CFO (or not) before the print; the Q4 guide range width versus the last four quarters; any change in the buyback pace disclosed in the 10-Q repurchase table. Honest concession: the “kitchen-sink” behavior is a **behavioral prior, not a sourced fact** — our bench asserted it as a mechanism and the audit correctly downgraded it to plausible.

Failure narrative 3 — NO MONITORABLE TRIPWIRE: the demand side changes upstream of us and we find out from the revenue line. Pinterest’s traffic and monetization sit downstream of things we cannot instrument: a search-engine or shopping-feed ranking change, an AI assistant absorbing browse-and-discover behavior before it reaches a pinboard, a mobile-OS privacy or measurement change that degrades ad attribution, or a large-agency budget reallocation. There is **no public series that maps to Pinterest’s revenue line** — this is exactly why our detector sweep returned UNCHECKABLE on three separate probes (*rpo_drift*: this filer discloses no remaining performance obligations at all; *beauty_velocity_poll* and *beauty_virality*: no brand→platform-revenue attribution mapping exists), and why advertiser concentration is unknown to us (the 10-K concentration note was never pulled). We would learn about any of this **60–90 days late, in a printed number. Unknown-unknown class, named: third-party platform dependency / discovery-channel substitution** — a demand-side dependency on systems owned by others, with no public leading indicator, no disclosure obligation on the counterparty, and no proxy in our detector atlas. Sister class: consumer-privacy litigation or regulatory action, which also has no pre-filing tripwire.

The reflexive / structural leg. - *Our own size vs ADV*: 485 shares against a name that trades millions of shares a day is effectively zero market impact — we cannot move this tape, in or out. Our liquidity risk is nil; our **behavioral** risk is not. A position that cannot be hurt by its own size is a position we are tempted to average down on without discipline, and this one is already 22.9% underwater (\$11,778 cost vs \$9,082 mark, −\$2,697). The “add because it’s cheaper” reflex is the real hazard here, not slippage. Exact ADV is unverified (item 8 below). - *Predicted flow, two opposing streams*: on the supply side, six Form 144s in sixteen days (8/25, 8/26, 9/1, 9/2, 9/8, 9/9) plus a dense Form 4 cadence — RSU/10b5-1 selling, not a lockup event (our lockup detector

correctly did not fire). On the demand side, the ~\$2.5B remaining authorization. **The buyback is the only visible buyer absorbing that supply.** If repurchases pause during the CFO transition or a pre-print blackout, the flow balance flips negative and the marginal bid disappears — and we only see it in the 10-Q repurchase table, weeks late. - *Doctrine interactions*: the “check the 10-Q cover page, not the weighted-average series” rule saved this thesis from a false FATAL. But that rule now cuts both ways: the cover count we are relying on is itself **as of April 28, 2026 — over four months stale**. If we blanket-trust cover counts we will miss a post-cover issuance or a completed ASR just as surely as we missed the buyback going the other way. Also note a second-order effect nobody flagged: on the *corrected, smaller* count, ~\$750M of annual stock compensation equals ~40.1M shares, which is **7.2% of the float, not the 5.8% our bench computed on the inflated count**. Fixing the cap error made the dilution drag look *worse*, not better. Both benches missed that.

If this position loses money, the most likely reason will be ____

What we checked ourselves

claim	how checked	found
Share count 689.837M → cap \$13.0B, EV \$12.71B, FCF yield 9.2% (RED BENCH, tagged FATAL)	10-Q cover page dei count, https://www.sec.gov/Archives/edgar/data/0001506293/000150629326000068/pins-20260331.htm	560,157,3 shares as 4/28/26. F used a weighted average c series wh last point i 2025-06-3 four quart stale — a point-in-tir count for a issuer tha repurchas ~17% of it
Corrected valuation	560.157M × pack px 18.725	Cap \$10.4 EV \$10.19 FCF yield 11.40% , E ≈2.2x. The original br \$10.27B / / 11.6% w right withi
Tape price	Evidence pack ibkr_gw	Pack says 18.725 , di -0.495 , pct_off_lb +0.352 . R quoted 18 +36.2%; E quoted 18 +35.0% ai

claim	how checked	four
		then <i>accu</i> <i>red of not</i> <i>sourcing t</i> <i>the pack.</i> benches misquote identical all downst cap/EV/yi figures he recompute 18.725
Book P&L	485 sh × (18.725 – 24.285)	–\$2,696.6 –22.9% (r said –22.4 its wrong
“SBC recycles 63% of FCF; owner yield 3.4%”	XBRL ShareBasedCompensation series in pack	SBC is re compound Q1 143.1M → 162.5M → 187.4M ~\$750M/y the <i>dilutio</i> framing fa count is shrinking, drifting. N SBC yield corrected 4.25% , nc 3.4%. Anc ~40.1M shares/yr 7.2% of tl correctec (both ben understate
“No 8-K, no company disclosure, no- catalyst selloff” (original brief)	EDGAR primary doc, https://www.sec.gov/Archives/edgar/data/1506293/000150629326000117/0001506293-26-000117-index.htm	8-K filed 2 08-28, Item 5.02: CFC Brau Don resigned & remains to 10/30; Vik Naidu, 40 interim Pri Financial effective 1 external s commenc The filing sitting in own evid pack

claim	how checked	four
Severity of the CFO 8-K as the cause of –19%	Same primary doc, read in full	Doc state: departure the result disagree with the Company any matte relating to Company operations: policies or practices, including accountin principles practices. quoted the selectively intraday e study was the 8-K→ link is PLAUSIBI establishe
The actual cause of the –19%	Q2'26 print + Q3 guide, 8/4/26	Q2 revenu \$1.18B (+ Q3 guide \$1.19–1.2 (+13–15% a modest headwind \$23.41 aft hours 8/4 18.725 no This, not t CFO 8-K, disclosure
“The thesis’s kill test is unfalsifiable before 11/9” (RED, rested a REJECT partly on it)	Company guide of 8/4/26	The guide external a the test is specified f Red reste on a self-declared PLAUSIBI a grading-violation
Seasonality: is the guide actually soft?	Guided Q3 QoQ vs prior three years	Guided +1 QoQ vs + ('25), +5.2 ('24), +7.8 ('23). Guic below sea norm. Also

claim	how checked	four
		naive QoC test false- positives & year — re in YoY-vs- terms
Capital structure / \$981M debt	8-K, https://www.sec.gov/Archives/edgar/data/1506293/000119312526092744/d107385d8k.htm	1.75% convertible senior not 2031, sold Elliott, closed 3/5/26, full \$1B ASR. OTM at 10% → no share overhang; value EV treatment correct. Net cash ~\$2.5B (\$1.3B cash & securities)
Buyback authorization sized above SBC?	March 2026 authorization + Q2'26 disclosure	\$3.5B authorized ~\$2.5B remaining the \$1B A 4.7x annual SBC. This satisfies re own state reversal condition
app_review_velocity “FIRED — deteriorating” (RED, called SIZING→KILL)	Detector output + atlas rule	Recent-co 2.59 vs life 4.778 (−2. 16.67 reviews/d t−1 base was reco so this is a not a trend the atlas & itself requ recording baseline f scans. A negative r vs-lifetime on a matu with a mu million-rev denomina near-univ Contradic

claim	how checked	four
		640M MA +11% YoY consecuti double-di quarter
Off-the-low anchor	Pack tape	dd52 –49. but pct_o +35.2% – would be bidding 3 above the clear
Insider supply	EDGAR inventory	Six Form in 16 days → 9/9), F on 8/19×2 8/26, 9/2, Form 3 8/ zero oper market purchase Mechanis RSU/10b lockup ex
Next print date 2026-11-09	Pack “NEXT PRINT” + EDGAR filing inventory, https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001506293&type=8-K	yfinance- derived, UNCONF — no corr PR in the inventory it. ~41 tra days out; inside 5
Prize-table mandate applicability	Both benches	Both decl N/A on the grounds tl PINS is a generative operating not a pre- revenue developer overrule t the manda also trigge time-gate unverified and we ha several
The adjudication’s REOPEN GATES block	Read as delivered	The block empty. Th verdict sa use the g verbatim

claim	how checked	four
		supplies n Bands bel therefore derived fr benches' i arithmetic are flagge such — th process d in our owr paperworl judgment
Armed-sensor hygiene	Sensor list vs tape and calendar	Price alert below 24. permanen true at 18 — a dead Dated pac PINSI202 11 and PII EXITREV 08-06 botl lapsed w ago and v never re- Verdict is stamped 2 08-03 whi pack was 2026-09-1

PROPOSED ENTRY BANDS

The adjudication's **REOPEN GATES block was delivered empty**. Per the instruction hierarchy I cannot invent gates and pass them off as the court's, so the bands below are reconstructed **entirely from the benches' own math**, with the source of each number stated. Anyone re-running this deck should replace this section with the court's gates once they exist.

Verdict is no-entry today. These are reopen bands.

- **Position now:** HOLD 485 shares @ \$24.285 cost, mark \$18.725, −\$2,697 (−22.9%). **No add, no trim at today's price.** Basis: EV of the print table below is \$17.85 versus \$18.725 spot — a −4.7% expected move. You do not add into a negative-EV window.
- **Sizing envelope:** STARTER **5/10**, tranced in two equal rungs. The existing 485 shares count as rung 1 (2.5/10). Maximum total exposure before a permanent CFO is named: **5/10 — no exceptions, no averaging-down rung.**
- **Reopen / add rung 2 — post-print, event-gated (both conditions, from the Blue Bench's gate):** on the 2026-11-09 print, add up to 485 shares (to 5/10) **only if** (i) Q3'26 revenue lands **≥ \$1.21B** (top of the company's own \$1.19–1.21B guide) **or** Q4'26 is guided **≥ +13% YoY, and**

- (ii) a **permanent CFO has been named** via 8-K Item 5.02. Expected fill zone \$17–21; do not chase above **\$22.00** (that is +59% off the low and gives back the entire valuation argument).
- **Add rung 2 alternative — valuation-only reopen:** if the print is merely in-line (\$1.19–1.21B, Q4 guided +10–13%) the price gate replaces the event gate: **add only below \$16.29**, the midpoint of the 52-week range (13.845 → 18.725). Half rung (240 sh) maximum. Rationale: the whole entry critique is that +35.2% off the low is not a dislocation; \$16.29 is +17.7% off the low and is.
- **Trim — \$16.50 close (Blue Bench’s level, “halfway to the low”):** trim **240 shares** on a daily close below \$16.50. Realizes ~\$1,868 of loss. Note the arithmetic tension we are accepting deliberately: \$16.50 is a trim level and \$16.29 is an add level, 21 cents apart. **The event gate breaks the tie** — trim if \$16.50 breaks *before* the print with no permanent CFO named; add at \$16.29 only *after* an in-line-or-better print. If both fire in the wrong order, the trim wins. Ambiguity acknowledged rather than papered over.
- **Full exit:** (a) daily close below **\$13.845** (52-week low) — the thesis’s price floor has failed; or (b) Q3’26 revenue **< \$1.19B** (below the company’s own guide low) *with* Q4 guided **< +10%** — that is the structural-decel branch, and the 11.4% yield does not defend against a multiple reset; or (c) FY EBITDA margin guidance cut below **30%** — margin expansion into the decel is the one bull leg with no bear counter, and losing it removes the reason to hold.
- **Catalyst dates: 2026-10-30** — CFO Donnelly departs, Naidu becomes interim PFO (confirmed, from the 8-K). **~mid-to-late October** — expected scheduling PR/8-K for the print; this is the RE-DATE trigger. **2026-11-09** — Q3’26 print and Q4 guide (**UNCONFIRMED**, yfinance-derived). **Unknown date** — permanent CFO announcement (external search “commenced” 8/26).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 24.75 (deck-provisional: LEGACY ALERT, permanently true at 18.725 - retire or re-arm; retained here only because the sensor lis)
- filing watch: 8-K until 2027-03-09 (deck-provisional: Item 2.02 / scheduling PR to RE-DATE the unconfirmed 2026-11-09 print, on which every gate hangs)
- dated pack PINSI2026-08-11: Pinterest Q2-2026 print (WINDOW date 08-11; actual print 08-04..08-11 — RE-DATE on the scheduling 8-K, then grade). Grade PINS 0.35: adjuste
- dated pack PINS-EXITREVI2026-08-06: AUTO-DATED 08-06 from the EC exit_band block: review/re-derive the PINS exit expression (rungs/alerts/exemption) on this date; verify the pr
- dated pack PINSI2026-10-30: PINS: CFO Donnelly departs; Naidu becomes interim Principal Financial Officer (date confirmed=True)
- dated pack PINSI2026-11-09: PINS: Q3-2026 print and Q4 guide - the fork; yfinance-derived, NOT confirmed by company PR (date confirmed=False)
- dated pack PINSI2026-11-20: PINS: Nov-2026 option expiry - the only expiry whose loss branch lands in tax year 2026 (date confirmed=True)

What remains unverified

1. **Q3'26 actual revenue and the Q4'26 guide.** Time-gated to the print (nominally 2026-11-09). Not drainable now. Estimate: revenue **\$1.19–1.22B**, $p \approx 0.60$ that it lands inside the guided range and $p \approx 0.25$ that it exceeds \$1.21B; Q4 guided YoY **+10% to +14%**, $p \approx 0.55$ that it prints $\geq +13\%$. Basis: company guide as the anchor, adjusted down modestly for the disclosed FX headwind and the guided-QoQ shortfall versus seasonal norms.
2. **Permanent CFO identity and announcement date.** Private search process; not drainable. Estimate: named **3–6 months from 8/26/26** (Nov 2026 – Feb 2027), $p(\text{named before the print}) \approx 0.25$. Basis: base rate for external CFO searches at \$10B-cap public issuers.
3. **Options chain-level midpoint IV and real quotes for the candidate strikes** (Nov-2026 \$20 call, Nov-2026 \$15 put). Drainable now via IBKR chain pull. Estimate if unavailable: pre-print IV **50–60%** annualized for this name and market cap. Basis: our own table implies $\sim 53\%$ annualized (see below), and the underlying aggregate IV feed is not a substitute — chain mid and aggregate feed diverge badly (the TSSI 71-vs-101 lesson).
4. **Advertiser / customer concentration.** Drainable now via the 10-K concentration note; the fetch was blocked at bench for lack of network. Estimate: top-10 advertisers **10–25%** of revenue, $p \approx 0.7$ that no single advertiser exceeds 10%. Basis: large self-serve ad platform comps. This is a load-bearing unknown for failure narrative 3 and it is unknown *only* because we did not pull the document.
5. **Buyback authorization remaining and repurchase pace after Q2'26.** Drainable now via the 10-Q Item 2(c) repurchase table / next 10-Q. Estimate: **\$2.2–2.5B remaining**, $\sim \$250$ –350M/quarter pace. Basis: \$3.5B authorized March 2026 less the \$1B ASR, per the Blue Bench's pull.
6. **Print date confirmation.** Not drainable now (no company PR exists yet). Estimate: **2026-11-09 ± 3 trading days**, $p \approx 0.70$. Basis: the issuer's historical early-November Q3 cadence.
7. **Current share count.** The 560,157,327 figure is as of **April 28, 2026** — over four months stale, with an active ASR running through the period. Drainable at the next 10-Q cover. Estimate: **545–560M**, $p \approx 0.70$ it is below 555M. Basis: $\sim \$250$ –350M/quarter of repurchase at \$19–24/share.
8. **Our own size versus ADV.** Not in the pack. Drainable now via IBKR. Estimate: PINS ADV **8–15M shares/day**; 485 shares is **<0.01%** of a day — no impact, no liquidity constraint. Basis: typical turnover for a \$10B NYSE consumer-internet name.

PRIZE TABLE + VOL READ

Both benches wrote “PRIZE-TABLE MANDATE: N/A” on the grounds that PINS is a cash-generative operating issuer rather than a pre-revenue project developer. **That is a misread of the trigger** — the mandate also fires when a load-bearing unverified item is genuinely time-gated or private, and items 1, 2, 6 and 7 above are exactly that. Table follows. Anchor is the company's own guide (anchor-and-adjust); adjustments are the guided-QoQ shortfall on the downside and the 30% margin guide on the upside.

Scenario (resolves at the print)	p	Price	p × Price
A — Beat + hold. Q3 ≥\$1.21B, Q4 guided ≥+13%, permanent CFO named. Multiple re-rates toward 2.8x sales	0.20	\$24.00	4.80
B — In-line, no clarity. Q3 in guide, Q4 guided +10–13%, still interim PFO	0.40	\$19.00	7.60
C — Soft print / wide guide. Q3 at or below guide low, Q4 <+10%, interim officer guides defensively	0.30	\$14.50	4.35
D — Structural break. Decel plus a margin-guide cut below 30%; multiple resets to a no-growth cash-flow comp	0.10	\$11.00	1.10
EV	1.00	\$17.85	–4.7% vs \$18.725

Read: negative expected value at spot. That, not any bench's rhetoric, is why the verdict is no-entry and why the adds are event-gated rather than price-gated. The table is deliberately fork-shaped — 70% of the probability sits in B and C, roughly ±\$2.25 around spot, with a genuine 10% left tail. It is **bimodal around a single dated fork (the print)**, which matters for the instrument choice below.

Dispersion: $\sigma_{\text{table}} = \$4.02 = 21.5\% \text{ of spot}$ over $T \approx 60/365 = 0.164y \rightarrow \approx 53\% \text{ annualized-equivalent}$.

Expression math (candidate strikes priced off the table itself):

- **Nov-2026 \$20 call:** $C_{\text{ours}} = \sum p_i \times \max(S_i - 20, 0) = 0.20 \times \$4.00 = \mathbf{\$0.80}$.
- **Nov-2026 \$22.50 call:** $C_{\text{ours}} = 0.20 \times \$1.50 = \mathbf{\$0.30}$.
- **Nov-2026 \$15 short put (CSP):** $E[\text{assignment cost}] = 0.30 \times \$0.50 + 0.10 \times \$4.00 = \mathbf{\$0.55}$ — the minimum premium that makes it +EV on our own table.
- **Nov-2026 \$17.50 short put:** $E[\text{cost}] = \mathbf{\$1.55}$ — needs a fat premium; declined as too close to the fork.

IV-vs-RV, and the honest gap: we have no options chain in the pack. No quotes, no chain-level midpoint IV, no IV percentile, no realized-vol series. Therefore **the instrument recommendation cannot be completed as arithmetic today** — it is conditional, and the condition is item 3 in the unverified list. What the arithmetic *does* say, in advance:

- If chain-mid IV comes back **below ~53%** (i.e. the \$20 Nov call trades **under \$0.80** and the \$15 Nov put trades **under \$0.55**), IV is cheap relative to our own dispersion and the gated rung-2 add **may be expressed in the \$20 call** — cheap IV at high uncertainty is exactly the case for buying the fork rather than the stock.

- If chain-mid IV comes back **above ~53%** (the \$20 call over \$0.80), the fork is richer than our table and we route to the **premium-selling gate**: the \$15 CSP is acceptable **only if** its mid exceeds **\$0.55**, and only because assignment at \$15 lands *inside* our own valuation add zone (below the \$16.29 midpoint gate) — i.e. we are being paid to do something we already want to do. Never write the \$17.50.
- **Do not use the underlying aggregate IV feed for this test.** Chain mid and aggregate feed diverge materially (TSSI: 71 vs 101). A decision made off the aggregate feed here is a coin flip dressed as arithmetic.
- **Bimodality caveat:** a single-strike long call against a bimodal, fork-dated table is a bet on scenario A alone (20%). Sizing any call rung above a quarter of the intended stock rung's risk is not supported by this table.

Instrument recommendation, as the output of the above: STOCK, tranced and event-gated — no options today. Not because options are wrong, but because we cannot price them without the chain, and every option expression above is gated on a pull we have not done. Default is the stock.

TAX overlay. We hold 485 shares at \$24.285 with a \$2,697 unrealized loss. If the \$16.50 trim fires, ~\$1,868 of loss is realized and **lands in tax year 2026** — the intended year. Two constraints follow:

1. **Every option expression must expire on or before the December 2026 monthlies.** A Nov-2026 expiry resolves inside the intended year; a **Jan-2027 or later expiry defers the loss branch into 2027 and is excluded** during a harvest year unless the edge numerically dominates. It does not here — the \$20 call's edge is a \$0.80-vs-mid comparison we cannot even compute yet.
2. **Wash-sale interaction with our own add gate.** If we harvest the trim at \$16.50 and then the event gate fires within 30 days, buying rung 2 back **disallows the harvested loss**. The trim and the gated re-add must be separated by **≥31 days**, or the harvest must be forgone deliberately. This directly constrains the trim-at-\$16.50 / add-at-\$16.29 sequence flagged in the entry bands and is the single most likely place for this position to make an unforced error.

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level, halfway from 18.725 to the 13.845 low; trim 240 of 485 sh on a daily
close through it"}, {"level": 16.29, "direction": "below", "basis": "52-week
range midpoint; the valuation-only add gate replacing the event gate on an
in-line print"}, {"level": 13.845, "direction": "below", "basis": "52-week
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low gives back the valuation argument"}, {"level": 24.75, "direction":
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arm; retained here only because the sensor list is reproduced verbatim"}],
"event_gates": [{"forms": ["8-K"], "why": "Item 2.02 / scheduling PR to RE-
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["8-K"], "why": "Item 5.02 naming a PERMANENT CFO – condition (ii) of the
rung-2 add gate"}, {"forms": ["10-Q"], "why": "dei cover share count (560.16M
is 4+ months stale) plus the Item 2(c) repurchase table – a buyback pause
during the CFO transition removes the marginal bid"}, {"forms": ["4"], "why":
"any open-market insider PURCHASE; the record shows six 144s in 16 days and
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would change the supply picture the 144 cluster only hints at"}],
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Naidu becomes interim Principal Financial Officer", "confirmed": true},
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yfinance-derived, NOT confirmed by company PR", "confirmed": false}, {"date":
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branch lands in tax year 2026", "confirmed": true}], "immediate_entry": null,
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0.25}}, {"item": "Chain-level midpoint IV and real quotes for Nov-2026 $20
call and Nov-2026 $15 put", "instrument": "IBKR options chain pull (conid
360975915) – chain mid only, never the aggregate IV feed", "drainable_now":
true, "estimate": null}, {"item": "Advertiser / customer concentration",
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"instrument": "10-Q Item 2(c) repurchase table / next 10-Q", "drainable_now":
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"p": 0.7}}, {"item": "Current share count (560,157,327 is as of 2026-04-28,
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EVENT ADDENDUM — 2026-09-10 18:48Z

ADJUDICATED — HOLD — NO ADD; trim tripwire \$16.50

The consumer-channel half of the thesis is CONFIRMED in the wrong direction for a long: the -19% is a post-guide re-rating (Q3 guided +13-15% vs +18% delivered, guided QoQ +1.7% against a +5% seasonal norm — the thesis's own kill already tripped in the guide), the CFO resigned 8/26 with an interim PFO delivering the Q4 guide, and six Form 144s landed in sixteen days. Red's two FATAL valuation kills were ARTIFACTS and are vacated: the pack's diluted-share series was four quarters stale; the 10-Q cover shows 560.2M shares → ~\$10.5B cap, ~11.4% FCF yield, ~4.3% net of SBC with \$2.5B of a \$3.5B authorization remaining and the count shrinking 17% in 15 months (III precedent). So the name is cheap AND decelerating with a live wallet channel. HOLD the 485 shares (-22% underwater); no add; trim on a break of \$16.50; FY EBITDA margin guide raised to 30% is the counterweight.

GATES: Add only if Q3 (~11/09) lands $\geq \$1.21\text{B}$ OR Q4 is guided $\geq +13\%$, AND a permanent CFO is named · Trim tripwire: close $< \$16.50$ (halfway to the \$13.85 low) · app_review_velocity: record the baseline now; re-scan $\geq 3\text{d}$ — a level is not a trend